ABCC 2027 Practice Series — Mini-Case Pack

Six one-page cases for 30–45-minute weekly drills · HSBI team · no slides — whiteboard and a five-minute verbal answer

All six companies are fictional; figures are simplified case data — treat them as given and state extra assumptions out loud. The scenarios mirror client archetypes recurring across real ABCC editions: arts non-profits (Manitoba Museum 2025, WAG–Qaumajuq 2024, Jazz Winnipeg 2026), family retail (Independent Jewellers 2024), Manitoba manufacturing (AROW Global 2025, StandardAero 2024), financial services chasing the young (Access Credit Union 2026), premium brands (Coal & Canary 2026), people problems (People Corporation 2025). If a 2027 client feels familiar in February, that is the point.

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How to run the drill

Purpose. These weekly drills train one muscle: crack a problem to a defensible, numbered recommendation in under half an hour and defend it out loud — a miniature of the boardroom round's protected three minutes and of every Q&A in Winnipeg.

Timing (about 40 minutes).

Clock	Step
0:00–0:02	Warm-up: one member answers the market-sizing question cold, timed at 90 seconds; compare with the printed answer.
0:02–0:06	Silent read of the case.
0:06–0:21	Whiteboard crack — the lead owns marker and structure; one member runs the key numbers.
0:21–0:26	Five-minute verbal answer to the "board", standing, no notes beyond the whiteboard.
0:26–0:31	The judge grills for five minutes: hostile, numerical, interrupting.
0:31–0:40	Open the boxed solution sketch and debrief against it and the rubric.

Rotation. Rotate the **lead** weekly through all four members — the lead runs the timer, sets the structure and opens the answer — and rotate the **judge** separately so nobody always plays friendly. Over six weeks everyone leads and answers a warm-up cold; in Winnipeg every member must speak in every round.

The five-minute answer. Recommendation in the first 30 seconds; two or three arguments *with the numbers*; then — Implementation & Resources carries the heaviest weight (2.5×) on the official ABCC rubric — a concrete close: cost, owner, timeline and the KPIs that prove it worked; risks and mitigation in one breath. An answer without cost, timeline and owner fails the drill, however elegant.

Ground rules. English only; no coach input during the crack; round aggressively and sanity-check every result. Where case data conflicts with outside knowledge, the case data wins.

Mini-Case 1 · Kammerphilharmonie Lippe — the €400k hole

Theme: German arts non-profit revenue gap.

Warm-up (90 seconds). How much do the residents of a German city of 340,000 spend on live classical-music tickets per year? **Answer sketch:** ~275k adults; 8 % attend a classical event yearly ≈ 22,000; at ~2.5 visits × ~€30 ≈ **€1.5–2m**. An orchestra already taking €1.1m has limited headroom at home.

The case. The Kammerphilharmonie Lippe, a 34-musician chamber orchestra (gGmbH) in an East-Westphalian city of 340,000, plays 46 own-promotion concerts a season in an 820-seat hall and runs a respected schools programme. In November 2026 the city council, facing a budget crisis, announces a phased cut to its operating grant: €200k from the 2027/28 season and a further €200k, permanent, from 2028/29. The managing director has ruled out shrinking the ensemble — the collective agreement and the mission forbid it — and the state grant is fixed until 2030. The board meets in three weeks and wants a credible plan to close a **permanent €400k gap within two seasons**. The subscriber base is loyal but ageing; a late-night "Lounge" format piloted last season sold out three times to a visibly younger crowd; the 900-member Förderverein (friends' association) has never been professionally developed, and ticket prices were last raised in 2019. You present to the board.

Hard data (2025/26 season).

- Budget €5.2m: grants €3.0m (58 %), tickets €1.1m, sponsoring/donations €0.6m, other (rentals, education) €0.5m.
- 46 concerts; average paid attendance 610 of 820 seats (74 %); average realised ticket price €29.
- 3,100 subscribers, average age 63, renewal 88 %, only ~140 new a year.
- Lounge pilot: 3 sold-out events, 280 seats at €19; 55 % of buyers under 40; variable cost €4,600 per event.
- 14 corporate sponsors; the largest gives €80k; no new major sponsor since 2022.

Task. How does the orchestra close the €400k structural gap within two seasons without cutting the ensemble or betraying the mission?

Solution sketch — open only after the drill

- *Structure: size the gap → ticket ceiling → portfolio of levers → phasing → risks/KPIs.*
- *Key calculation ("full-house maths"): selling **every** seat at today's prices adds only 210 × 46 × €29 ≈ **€280k** — the ticket maximum sits below the €400k gap; "sell more tickets" fails the arithmetic.*
- *Realistic on-stage levers: +€3 average price (zone pricing) on 28,060 tickets ≈ €84k; mid-week occupancy ≈ €40k. The Lounge (280 × €19 = €5,320 vs €4,600 cost ≈ €700/event, under €10k across 12 events) is an **audience-pipeline** investment, not a gap-closer.*
- *Off-stage closes it: two anchor sponsors at ~€60k = €120k; a patrons' circle with legacy giving from the Förderverein ≈ €80k; rentals and paid education ≈ €50k; admin savings ≈ €40k → ≈ €415k.*
- *Strong answer: "No single lever closes €400k — the ticket ceiling is €280k; we propose a five-lever ~€415k portfolio over two seasons, led by development, not pricing."*
- *Implementation: one fundraiser hired now (~€75k/yr, pays back 3×, 12–18-month ramp); KPIs: sponsor revenue, donations, new subscribers under 40.*

Mini-Case 2 · Thiessen & Sons Outfitters — one store, three doors

Theme: Canadian family retailer expansion choice.

Warm-up (90 seconds). Estimate annual consumer spending on workwear and outdoor clothing within a 30-minute drive of Steinbach, Manitoba (trade area ~45,000 people). **Answer sketch:** 45,000 × ~CA$150 per head per year (harsh winters, trades economy) ≈ **CA$6–7m** — the number that prices the case's biggest assumption.

The case. Thiessen & Sons Outfitters has sold workwear, winter clothing and outdoor gear from one large Winnipeg store for 68 years: revenue CA$9.4m, gross margin 44 %, EBITDA about CA$750k. Rachel Thiessen, 34, third generation, is taking over operations from her father, who remains CEO and majority shareholder. The family can deploy about CA$1.5m (cash plus credit line), but her father refuses to carry more than CA$800k of debt, and two of the five family shareholders would rather see dividends than growth. Three options are on the table. **A:** a second store in Steinbach, a fast-growing regional centre with no dedicated workwear specialist. **B:** a proper e-commerce build — the ageing webshop takes 3 % of sales. **C:** renovate the tired flagship, where her father sees "money walking out the door". Rachel wants one clear priority for the next three years, not a bit of everything, and asks you to recommend it at Sunday's family council.

Hard data.

- Option A: capex CA$1.1m (fit-out plus opening inventory); sales CA$1.8m year 1, CA$2.6m steady state; incremental fixed cost CA$620k/yr; gross margin 44 %.
- Option B: capex CA$450k plus CA$260k/yr running; online gross margin 38 % after shipping and returns; sales CA$0.9m (yr 1) to CA$1.6m (yr 3); ~25 % of online sales cannibalise the store.
- Option C: CA$700k renovation; expected +6 % uplift on flagship sales.
- Flagship sales base ≈ CA$9.1m (total CA$9.4m minus the 3 % webshop share).

Task. Which single option should the family fund first, and how do you make it acceptable to a divided shareholder table?

Solution sketch — open only after the drill

- *Structure: family decision criteria (payback, debt ceiling, who runs it) → three paybacks → recommend → govern the politics.*
- *Key calculation — Option A: CA$2.6m × 44 % = CA$1.14m gross profit − CA$620k fixed =* ***CA$524k/yr*** *at steady state; year 1 contributes CA$172k (1.8m × 44 % − 620k); cumulative CA$696k by end of year 2 →* ***payback ~2.7 years*** *on CA$1.1m.*
- *Option B honest maths: year 3 = 1.6m × 38 % − 260k = CA$348k, minus cannibalised store gross profit (1.6m × 25 % × 44 % ≈ CA$176k) =* ***~CA$172k net****, year 1 ≈ zero — smaller prize, margin-dilutive. Option C: ~CA$240k on CA$700k ≈ 2.9 years, defensive.*
- *Sanity check vs the warm-up: CA$2.6m of a CA$6–7m trade area ≈ 40 % share — aggressive but arguable for the only specialist; the assumption to validate.*
- *Strong answer:* ***A*** *— biggest absolute value creator, plays to the family's strengths, fits the funding limit (CA$700k cash + CA$400k debt < CA$800k ceiling); add a ~CA$60k click-and-collect hedge; defer B and C.*
- *Implementation and governance (the 2.5× category): Rachel runs the store; dividend floor agreed in writing before the lease; doors open before the autumn workwear season; KPIs: year-1 sales vs CA$1.8m, 44 % margin held, dividend paid; walk-away trigger: two seasons below 70 % of plan.*

Mini-Case 3 · Boundary Trail Metalworks — what do we build next?

Theme: Manitoba manufacturer next-product screen.

Warm-up (90 seconds). How many transit buses are in service in Canada? **Answer sketch:** ~30m urban Canadians; ~one transit bus per 2,000 urban residents → **~15,000 buses**. (Winnipeg builds many — hence OEMs knocking on Manitoba job shops.)

The case. Boundary Trail Metalworks of Winkler, Manitoba, fabricates grain-handling and attachment equipment: revenue CA$28m, EBITDA 11 %, one plant running at 78 % capacity with about **6,000 spare machine-hours a year** and a welding team it cannot easily grow. The founder-CEO wants one new product line launched in 2027 and has capped new investment at **CA$2.0m**. Three candidates survived screening. **1:** heavy-duty snow pushers for skid steers, sold through US dealers. **2:** a heat-recovery module for grain dryers, a premium innovation for the Prairie farm market. **3:** a five-year contract manufacturing agreement for machined and welded sub-assemblies with a large transit-vehicle OEM — prestigious, steady, and volume-heavy. The founder-CEO built the plant from a two-man welding shop an hour south-west of Winnipeg; he distrusts consultants and loves a clean number. The sales VP loves the OEM logo, the CFO loves the dryer margins — and the CEO suspects the answer lies in the constraint.

Hard data.

- Option 1 (snow pushers): price CA$3,400, variable cost CA$2,550 → contribution CA$850/unit (25 %); 2.5 machine-hours/unit; dealer demand ~1,200 units/yr; capex CA$900k; US tariff exposure.
- Option 2 (dryer module): price CA$21,000, variable cost CA$14,700 → contribution CA$6,300/unit (30 %); 24 machine-hours/unit; demand ~180 units/yr; capex CA$1.6m; needs two engineers.
- Option 3 (OEM contract): revenue CA$4.2m/yr at 16 % contribution (CA$672k/yr); 5,500 machine-hours/yr; capex CA$700k plus nine-month quality certification; five-year commitment.
- Binding constraints: 6,000 spare machine-hours; CA$2.0m capex ceiling.

Task. Which product do you launch in 2027, and in what order do the others follow — if at all?

Solution sketch — open only after the drill

- *Structure: find the bottleneck (machine-hours, not demand or margin %) → rank by contribution per bottleneck-hour → test both constraints → stage-gate.*
- *Key calculation — contribution per machine-hour: Option 1: 850 / 2.5 =* ***CA$340/h****; Option 2: 6,300 / 24 =* ***CA$263/h****; Option 3: 672,000 / 5,500 =* ***CA$122/h****. The margin-% ranking (2 > 1 > 3) and the bottleneck ranking (1 > 2 > 3) disagree — saying so is the insight.*
- *Feasibility: Option 1 needs 3,000 h → CA$1.02m contribution, payback 900k/1,020k ≈* ***11 months****; Options 1+2 need 7,320 h (> 6,000) and CA$2.5m capex (> 2.0m) — infeasible; Option 3 devours 92 % of spare hours at the lowest rate for five years.*
- *Strong answer: launch* ***Option 1*** *(best rate on the scarce resource, smallest capex, fastest payback); stage-gate* ***Option 2*** *for 2028 (richest unit margin, farm-base fit);* ***decline Option 3*** *— the logo does not pay for the hours and freezes the plant's option value.*
- *Tariff risk on Option 1: duty-adjustment clauses, a second Prairie dealer group, flexible tooling.*
- *Implementation: CA$900k approved Q1, tooling four months, dealer shipments before October snow; KPIs: units vs 1,200, CA$/machine-hour vs 340, utilisation ≤ 95 %.*

Mini-Case 4 · Tallgrass Mutual — insuring the renters

Theme: regional insurer youth engagement.

Warm-up (90 seconds). How many *new* renter households form in Manitoba each year? **Answer sketch:** ~1.45m people ÷ ~80-year lifespan ≈ 18,000 turning 20 each year; ~two-thirds rent first → **~12,000 new renter households a year**, before movers. Every homeowner was a renter first.

The case. Tallgrass Mutual Insurance, founded 1908 in Brandon, writes home, farm, tenant and small-commercial cover in Manitoba (auto is largely public, so not in play): CA$210m of gross written premium across 96,000 policyholders whose average age is now 56. Under-35s hold just 9 % of policies, down from 24 % a decade ago. The mutual sells exclusively through 210 independent brokerages, and the board treats that network as its identity — any strategy that bypasses or alienates brokers is dead on arrival. Digital insurers quote a renter's policy in five minutes on a phone; Tallgrass has no online quoting, and a CA$310 renter policy pays a broker CA$39, so brokers rationally do not chase renters. The CEO's question: "Give me a youth strategy a mutual with a broker soul can actually execute — and show me the lifetime maths that justifies spending money on a CA$310 policy." The plan is due at the spring board meeting.

Hard data.

- Under-35s: 9 % of policies; only 6,200 tenant policies in force; average renter premium CA$310/yr vs homeowner CA$1,750/yr.
- 92 % of under-35 insurance searches start online; no digital quote-and-bind exists; broker commission 12.5 %.
- Renter-first customers acquired before 30 stay an average of 14 years; **61 % later buy a homeowner policy**.
- Combined economics: loss ratio 48 %, expense ratio 34 % → underwriting margin 18 %.
- Digital competitors' estimated renter acquisition cost: ~CA$95.

Task. What is the youth strategy, and what does the lifetime-value calculation say the mutual can afford to spend?

Solution sketch — open only after the drill

- *Structure: reframe (renters are the homeowner pipeline, not a product) → lifetime-value maths → broker-compatible digital model → implementation.*
- *Key calculation — renter-first LTV: ~6 renter years × (CA$310 × 18 %) ≈ CA$335, plus 61 % × 8 yrs × (CA$1,750 × 18 % = CA$315) ≈ CA$1,537 →* ***lifetime underwriting margin ≈ CA$1,900*** *vs a CA$95–150 acquisition cost: a 12–19× return. Even doubling renter commission (+CA$39/yr) barely dents it.*
- *Strong answer, three moves: (1)* ***digital quote-and-bind for tenant policies routing every policy to a local broker of record*** *— digital front door, broker back office; (2) renter commission ~25 % plus a bonus on later homeowner conversion; (3) partnerships where first apartments happen — campus housing offices, property managers bundling cover at lease signing.*
- *Kill the wrong answer explicitly: a stand-alone direct brand wins renters and loses 210 brokerages — strategic suicide for a mutual.*

- *Implementation (2.5×): platform ~CA$400–600k with an insurtech partner; two-brokerage pilot autumn 2027, province-wide in 12 months; KPIs: 2,500 tenant policies/yr by year 2 (~20 % of the ~12k new-renter flow), quote completion, renter-to-homeowner conversion as the north star.*
- *Risks: broker apathy (auto-routing means zero broker effort); loss-ratio drift (priced to stay positive at a stressed 58 %).*

Mini-Case 5 · Lindenhof Naturkosmetik — the discount that ate the brand

Theme: premium consumer brand channel conflict.

Warm-up (90 seconds). Size the German market for premium facial skincare (products at €25 and above). **Answer sketch:** ~35m regular facial-skincare users; ~20 % buy premium ≈ 7m; at ~€120/yr ≈ **€0.8–1bn**. A niche worth protecting — that is the whole case.

The case. Lindenhof Naturkosmetik, a certified-natural skincare maker from East Westphalia, built an €18m brand on a €42 hero face cream, 240 carefully chosen perfumeries and organic stores, and a thriving webshop. Eighteen months ago it accepted a trial listing with a national drugstore chain. The chain now sells the hero cream at €31 — 26 % below recommended retail — runs it in promotion flyers, and has offered to nearly **triple** its Lindenhof volume next year if the brand joins two chain-wide promo windows. Meanwhile three top-20 perfumeries have delisted, eleven more are threatening, webshop growth has stalled, and fourteen unauthorised Amazon sellers undercut everyone. The founder is torn: the chain cheque is real money, but the label is sliding from "premium natural" to "sometimes cheap somewhere". Legal reminds everyone that in the EU you **cannot dictate resale prices** — but you *can* choose whom you supply under qualitative selective distribution. Decision needed before the chain's Friday deadline.

Hard data.

- Revenue €18m: webshop (DTC) 34 % / €6.1m; perfumeries 48 % / €8.6m; chain 18 % / €3.2m.
- Contribution margin on the brand's net revenue by channel: DTC 55 %, perfumery 33 %, chain 20 %.
- Since chain entry: perfumery channel −9 % YoY; DTC new-customer growth down from +21 % to +4 %; searches for "Lindenhof billig" +140 %.
- Chain offer: €3.2m → up to €9.0m revenue (+€5.8m) with two promo windows.
- Amazon grey market: ~€1.2m at roughly −30 % vs RRP, 14 unauthorised sellers.

Task. Take or refuse the chain's expansion offer — and what is the channel architecture for the next three years?

Solution sketch — open only after the drill

- *Structure: what the brand monetises (price integrity) → value the offer vs the damage → decide → channel system → enforcement.*
- *Key calculation 1 — replacement ratio: every €1.0m of perfumery revenue lost costs €330k contribution (33 %), needing **€1.65m of chain revenue** (at 20 %) just to stand still — before any brand damage.*
- *Key calculation 2 — the offer: upside +€5.8m × 20 % = **+€1.16m**; plausible damage: perfumeries −25 % (−€2.15m × 33 % ≈ −€710k) plus a continued DTC stall (−€1.0m × 55 % ≈ −€550k) = **−€1.26m**. Value-negative before any equity erosion — refuse.*
- *Strong answer: refuse the promo expansion; **wind the chain down to a controlled exit or an exclusive ≤ €20 entry sub-line** (different formula and name) so the hero line never appears in a flyer again; formalise EU-compliant **qualitative selective distribution** (training, presentation and service criteria — legal, unlike price-fixing) and cut off the 14 grey sellers via test purchases and supply-chain audits.*
- *Reinvest where contribution lives: perfumery sell-through support and local marketing funds (~€400k/yr); restart DTC acquisition at 55 % margin.*
- *Implementation (2.5×): decline on Friday, six-month wind-down; Q1 selective-distribution contracts; Q2 enforcement wave; KPIs: doors ≥ 220, realised street price vs €42, DTC growth > +15 %, grey volume < €0.3m. Accept a ~€0.4m one-year P&L dip to protect a premium position in a €1bn market — say that trade-off out loud.*

Mini-Case 6 · Senne Präzisionstechnik — fourteen empty workbenches

Theme: mid-size firm skilled-labour shortage.

Warm-up (90 seconds). How many skilled machinists and metal workers does Germany lose to retirement each year — and how many are trained? **Answer sketch:** ~1.5m skilled metal workers ÷ ~45-year careers ≈ 33k retiring in a flat world; the boomer bulge pushes it to **~40k+/yr** against ~25k completed apprenticeships → a ~15k structural gap a year. Every firm fishes in the same shrinking pond.

The case. Senne Präzisionstechnik GmbH, a family-owned CNC machining firm near Paderborn (238 employees, €46m revenue), supplies machined components to machinery customers. It has **14 machinist and mechatronics vacancies open for more than six months**, an average workforce age of 47, and 28 % of skilled staff retiring within ten years. Last year it declined €3.8m of winnable orders and burned 21,400 overtime hours to protect delivery dates; apprentice applications have collapsed from 90 a decade ago to 22. The owners will invest up to **€3m over three years** and have put four levers on the table: a training academy with doubled apprentice intake; two robotic machine-tending cells; international recruiting under Germany's skilled-immigration rules; or an 8 % across-the-board pay rise "to finally fix retention". The works council supports anything that reduces overtime; two rivals in the district have begun poaching with signing bonuses. You present the three-year workforce plan on Thursday.

Hard data.

- Declined orders €3.8m/yr; contribution margin 32 %. Overtime: 21,400 h at a blended €54/h including a 40 % surcharge.
- Robotic cell: €480k each; one cell frees ~2.5 FTE-equivalents across shifts; fully loaded cost per machinist €68k/yr.
- Apprenticeship: net €28k/yr over 3.5 years; post-training retention 70 %; current intake 4/yr.
- International hire: ~€23k all-in (agency, relocation, language, onboarding); productive after ~9 months; three-year retention ~65 %.
- 8 % across-the-board raise ≈ €1.1m **per year**, recurring.

Task. Allocate the €3m — which levers, in which order, closing how much of the 14-role gap by when?

Solution sketch — open only after the drill

- *Structure: cost of doing nothing → cost per net productive FTE per lever → portfolio by time horizon → works-council path.*
- *Key calculation 1 — burning platform: lost contribution €3.8m × 32 % ≈ €1.2m, plus the overtime* premium *(40 % surcharge share of €54 ≈ €15/h × 21,400 h ≈ €0.33m) →* ***~€1.5m avoidable per year****; a sub-€3m fix pays back in ~two years.*
- *Key calculation 2 — cost per net productive worker: automation 2 × €480k = €960k frees ~5 FTE-equivalents, saving 5 × €68k = €340k/yr →* ***payback ~2.8 years****. International: €23k ÷ 65 % retention ≈* ***€35k per retained hire****, productive within a year — fastest. Apprentices: €28k × 3.5 ÷ 70 % ≈* ***€140k per retained worker****, arriving 2030+ — slow, but the only demographic fix.*
- *The trap: the blanket 8 % raise costs €1.1m* every year *and adds* ***zero*** *capacity — replace with targeted stay bonuses for the ~6 critical near-retirement experts.*
- *Strong answer — sequenced portfolio ≈ €2.6m: year 1, two robot cells (€960k, ~5 roles) plus 8 international hires (~€185k, ~5 retained); years 1–3, academy with the local Berufskolleg, intake 4 → 10 (~€600k); retention pool ~€300k. ~10 of 14 roles closed in 18 months, all by 2029.*
- *Implementation (2.5×): works council co-signs automation-plus-training (operators retrain as cell supervisors); named owners in HR and production; KPIs: open roles ≤ 4 in 18 months, overtime −50 %, declined orders zero, applications 22 → 60. Risks: hire attrition (housing, buddy programme); automation ramp (vendor-guaranteed OEE).*

After week six, write two fresh mini-cases in this format and swap — authoring is the fastest way to learn how case writers hide the answer in the exhibits.